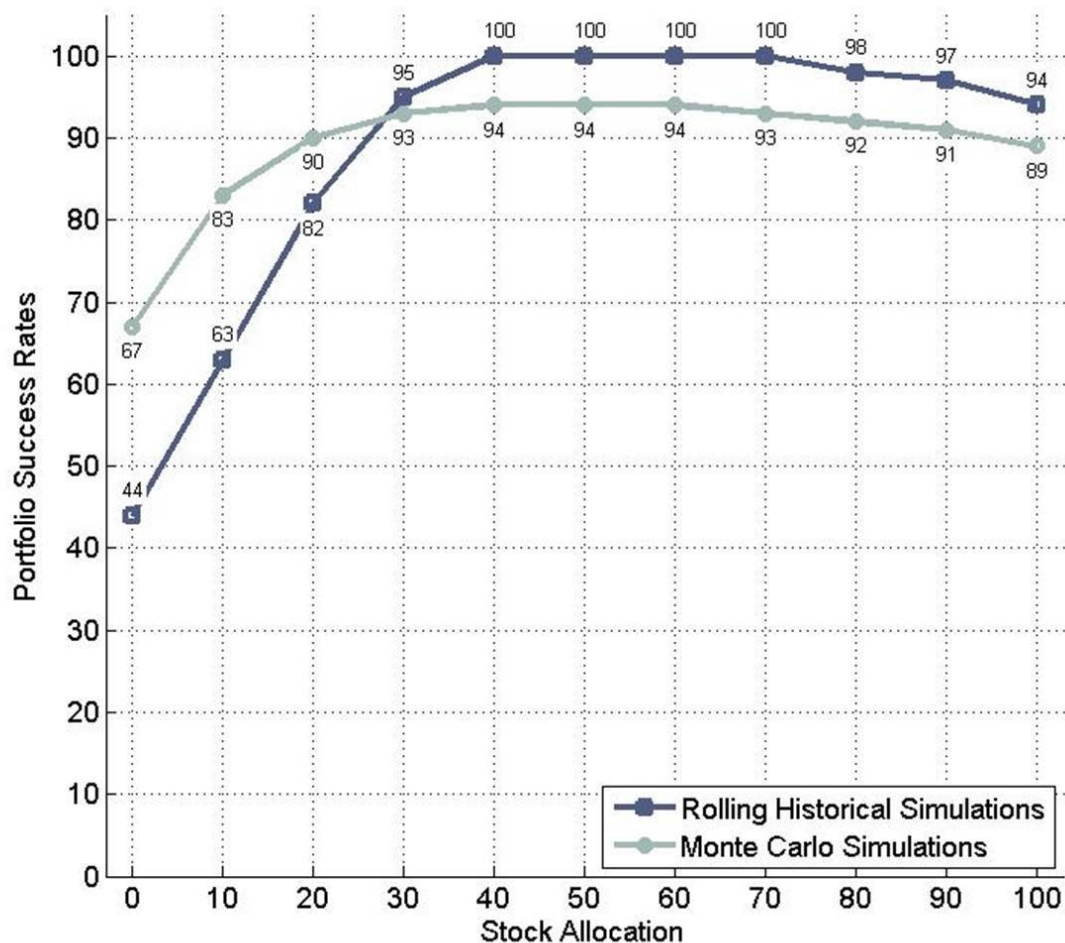


30-Year Retirement, Inflation Adjustments

Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds



A downside for Monte Carlo simulations is that they do not reflect other characteristics of the historical data not incorporated into the assumptions. For instance, most Monte Carlo simulations used by financial planners do not incorporate mean reversion guided by market valuations, though the US historical record has generally exhibited such behavior. Also, Monte Carlo simulations that do not include “fat tails” in the distribution of returns may not create extreme low or high returns as frequently as seen in reality. However, these two factors may partly offset one another. The lack of mean